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Recycling with the Best

Weekly Ship Recycling Report

15 June - 21 June 2024

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Highlights of the week

The four key ship recycling destinations are currently facing various challenges and market conditions. In India, the local market remains unfavorable and negative, with no demand for steel from vessels and a daily decline in the local steel market. In Bangladesh, the market is currently closed due to the Eid holidays when workers return to their homes, and the market trend will become clearer in the weeks ahead. Similarly, in Pakistan, the market is closed for Eid holidays, with a clearer understanding of the market trajectory expected in the following weeks. In Türkiye, the market is experiencing minimal price movement and very slow activity due to the holiday week.

Global growth forecasts for 2024 have been upgraded, reflecting increased confidence in Europe's recovery, a rebound in China's export potential, and stronger domestic demand in emerging markets, excluding China. The global growth forecast for 2024 has been raised to 2.6% from 2.4% in the March review. The eurozone's growth forecast has been revised up by 0.2 percentage points to 0.8%, and China's forecast has been adjusted to 4.8% from 4.5%. The US GDP growth forecast remains unchanged at 2.1% for the current year. However, for 2025, the analysis anticipates a slowdown in global economic growth to 2.4%, with US growth decelerating to 1.5% and the eurozone's growth accelerating to 1.5%. China's growth is expected to decline to 4.5% due to a slowdown in exports and government spending.

Exchange Rates:

USD / INR ₹

This Week	:	83.58
Previous Week	:	83.54
Lost	:	0.04

USD / BDT ৳

This Week	:	117.61
Previous Week	:	117.50
Lost	:	0.11

USD / PKR Rs

This Week	:	278.50
Previous Week	:	278.48
Lost	:	0.02

USD / TRY ₺

This Week	:	32.87
Previous Week	:	32.65
Lost	:	0.22

India

Local market remains negative with low steel demand and ongoing declines.

- The local market remains unfavorable and negative, similar to the previous week. There is no demand for steel from vessels, and the local steel market continues to decline daily by 300 to 400 INR (approximately 4 to 5 USD).

- In FY24, India shifted from being a steel exporter to a net importer, with a trade deficit of 1.1 million tonnes. This change was due to weak global markets and competitive pricing from China, while South Korea and Japan sustained their export volumes to India.

- India and the European Union have been unable to reach an agreement at the World Trade Organization (WTO) regarding the concessions the EU can offer to mitigate the impact of its duties on certain steel imports from India.

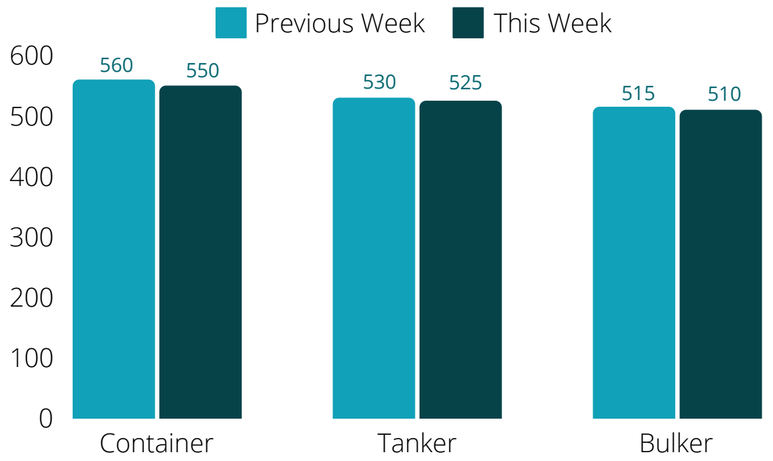
Beaching Dates

21 June to 28 June 2024

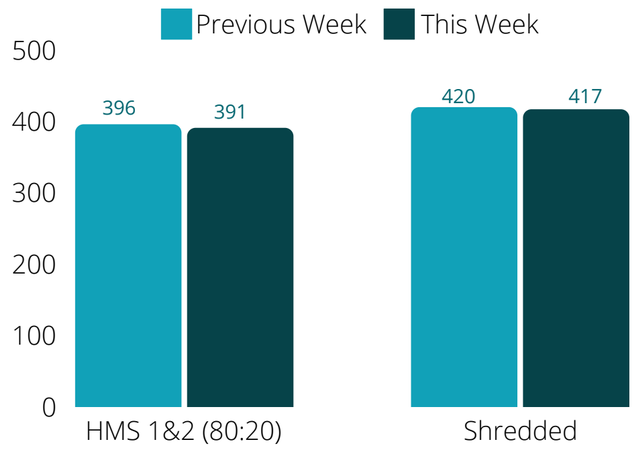
02 July to 11 July 2024

19 July to 27 July 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Local market pauses for Eid, ;forex reserves edge up amid banking challenges.

- The local market is currently closed, as anticipated, due to the 8-10 day closure of ship recycling yards during Eid holidays when workers return to their homes. The market trend will become clearer in the weeks ahead.

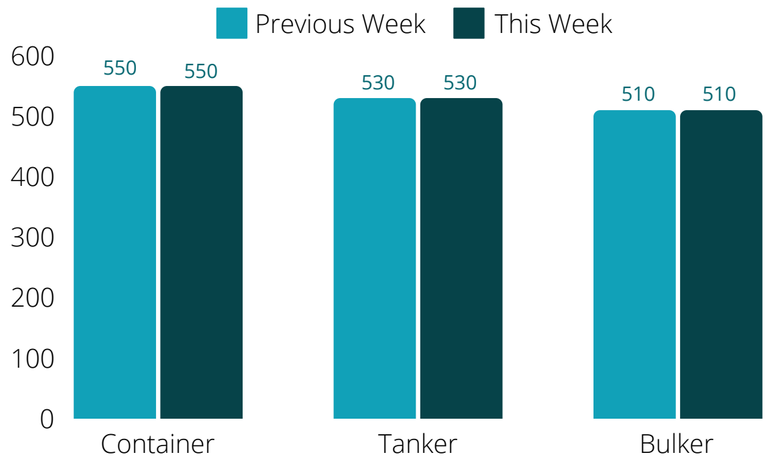
- Bangladesh's foreign exchange reserves rose by 318 million USD to 19.53 billion USD on June 19. Remittances from expatriates totaled 1.65 billion USD in the first 14 days of June. The reserves are expected to exceed 21 billion USD by the end of June with 1.65 billion USD anticipated from the IMF and World Bank.

- However Bangladesh's banking sector is facing a severe liquidity crisis due to a foreign currency shortage, slow deposit growth, and poor loan recovery. Banks are increasingly dependent on the call money market and central bank funding. Recent policy rate hikes to curb inflation have worsened the situation, and competition from higher-yielding government treasury bills has intensified fund mobilization challenges.

Beaching Dates

22 June to 25 June 2024
05 July to 08 July 2024
21 July to 24 July 2024

Price for Recycling Ships in Bangladesh



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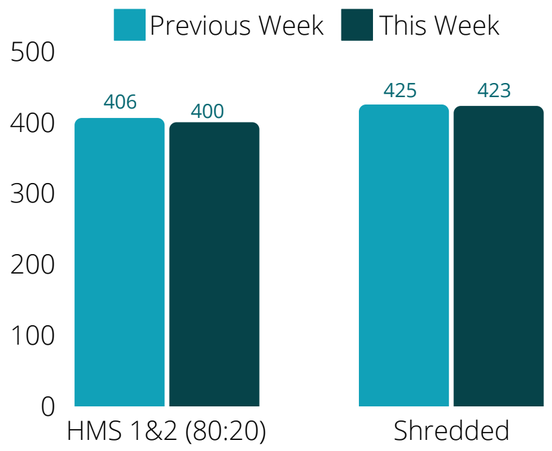


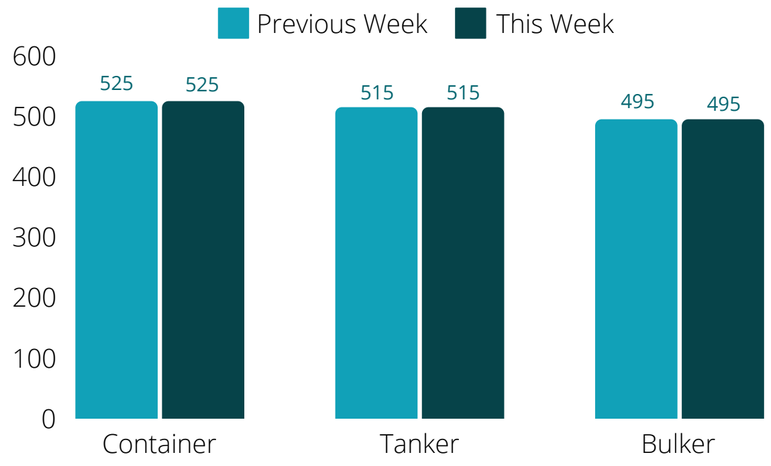
Pakistan

Market closed for Eid holidays; future trajectory to be assessed upon reopening.

- The market is currently closed for Eid holidays and will reopen on Monday, June 24th. In the following weeks, we will gain a clearer understanding of the market trajectory.

- The PML-N government will close Pakistan Steel Mills (PSM) and allow Sindh to use its land for industrial purposes. They plan to establish a new steel mill with Sindh's cooperation, supported by the Special Investment Facilitation Council (SIFC). The Ministry of Industries and Production will clear encroachments, oversee the creation of an Export Promotion Zone (EPZ) or Special Economic Zone (SEZ), and ensure the mutation of 1,683 acres of un-mutated land.

Price for Recycling Ships in Pakistan



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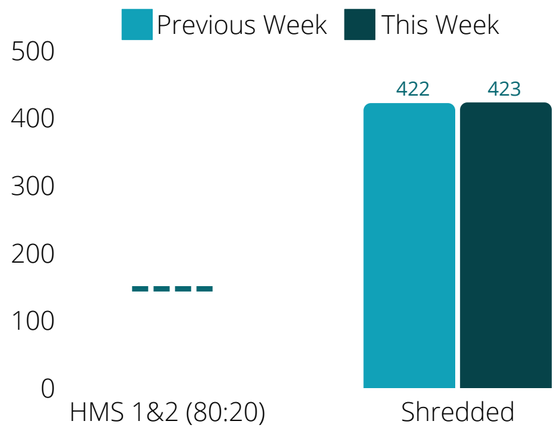


Beaching Dates

Throughout the month

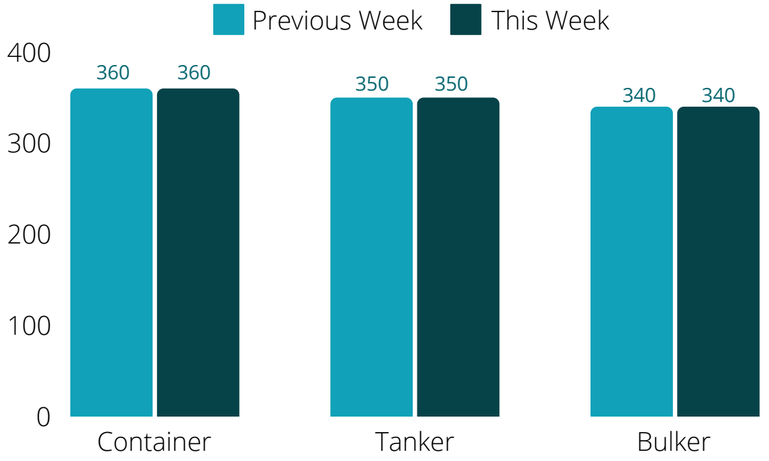
Türkiye

Holiday week brings minimal price movement and slow market activity.

- The market in Turkey is experiencing minimal price movement and very slow activity in due to the holiday week.

- The Turkish economy is showing positive trends, including a recovery in exports and strong domestic demand. Growth is projected at 3.5% in 2024, 3% in 2025, and 3.2% in 2026. However, inflation remains a concern, with expected rates of 43% in 2024, 23% in 2025, and 18% in 2026.

Price for Recycling Ships in Türkiye



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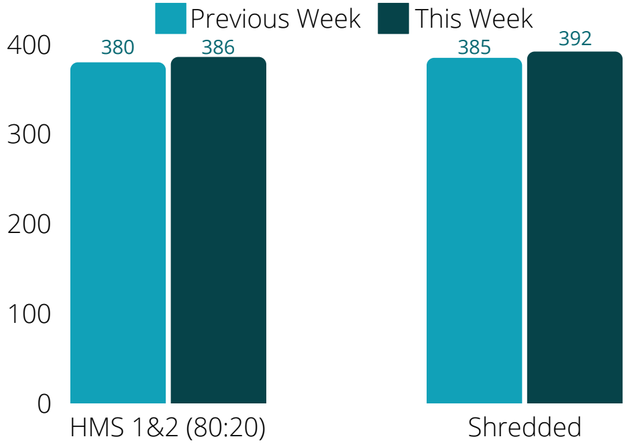
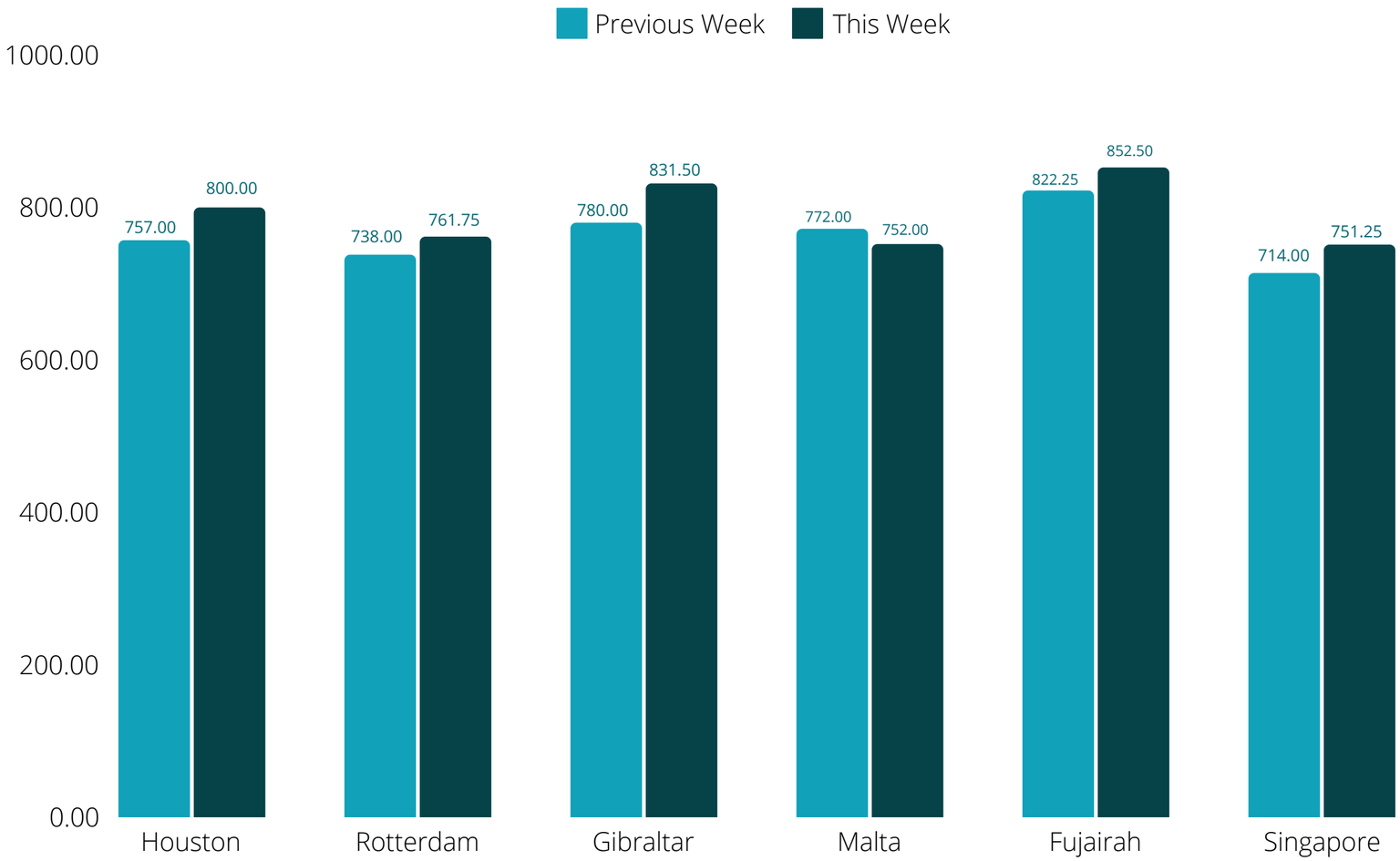


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 85.76
Previous Week	: 83.24
Movement	: + 2.52

WTI Crude

This Week	: 81.33
Previous Week	: 78.94
Movement	: + 2.39

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
XIN HAO JIANG 206	BULKER	1066087	2008	CHINA	3,328	DELIVERED	CHITTAGONG,BANGLADESH	505
MSC GRACE F	GENERAL CARGO SHIP	8918057	1991	GERMANY	7,370	DELIVERED	ALANG, INDIA (GREEN RECYCLING) YARDS AS PER MSC LIST	545
IDM DOODLE	GENERAL CARGO SHIP	9112557	1995	JAPAN	4,303	DELIVERED	ALANG, INDIA	UNDISCLOSED
MOSHTARAKA 2	BULKER	9080273	1995	JAPAN	14,398	AS-IS	KHOR FAKKAN, UAE	540 (BUNKER ROB)
CAPTAIN GHAITH EX. DIYAA B	BULKER	8312708	1984	JAPAN	6,956	AS-IS	SOHAR, OMAN	UNDISCLOSED

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